

an Intel or Walmart. But relative size can also be a moat. If you are the dominant insurer of small taxi fleets, as Atlas Financial is, then you have a moat. Competitors are unlikely to invest the time and energy necessary to compete in what is a niche market.

The aforementioned Berry made an interesting point here about the size of the firm relative to the market: “Imagine a market where the fixed costs are high, and prices are low. Imagine that prices are so low that you need 55% of the market just to break even. How many competitors will that market support? One. Not two, not three ... one.”

The firm that gets that 55 percent is in a commanding position. It can keep prices just high enough that it can keep others out and earn a good return. “What matters is the amount of the market you need to capture to make it hard for others to compete,” Berry points out.

This is not meant to be an exhaustive look at moats. There are many other ways, some subtle, in which a company could create a barrier other companies have trouble breaking through.

In any event, it is easier to talk about these in the abstract than it is to find them, definitively, in real life. It’s easy to talk yourself into why, say, Coach has a moat. But does it really have a moat? Also, competitors have a way of eventually finding a way across many supposed moats.

A great product alone is not a moat. Dorsey uses the example of the Chrysler minivan, which was the first minivan and sold well. But soon after, competitors had their own minivans. Chrysler could not charge more for its minivan. There was no reason to get a Chrysler minivan over any other.

It had no moat.

Sometimes this gets tricky. In his book, Dorsey uses Krispy Kreme as a company with no moat. It makes a great doughnut, but it’s easy to switch and Krispy Kreme can’t charge premium prices for its doughnuts.

But some people do love Krispy Kreme doughnuts — including me — and, given a choice, would go for KK over Dunkin Donuts. I’m not so sure it has no moat. See what I mean about how moats can be hard to identify definitively?